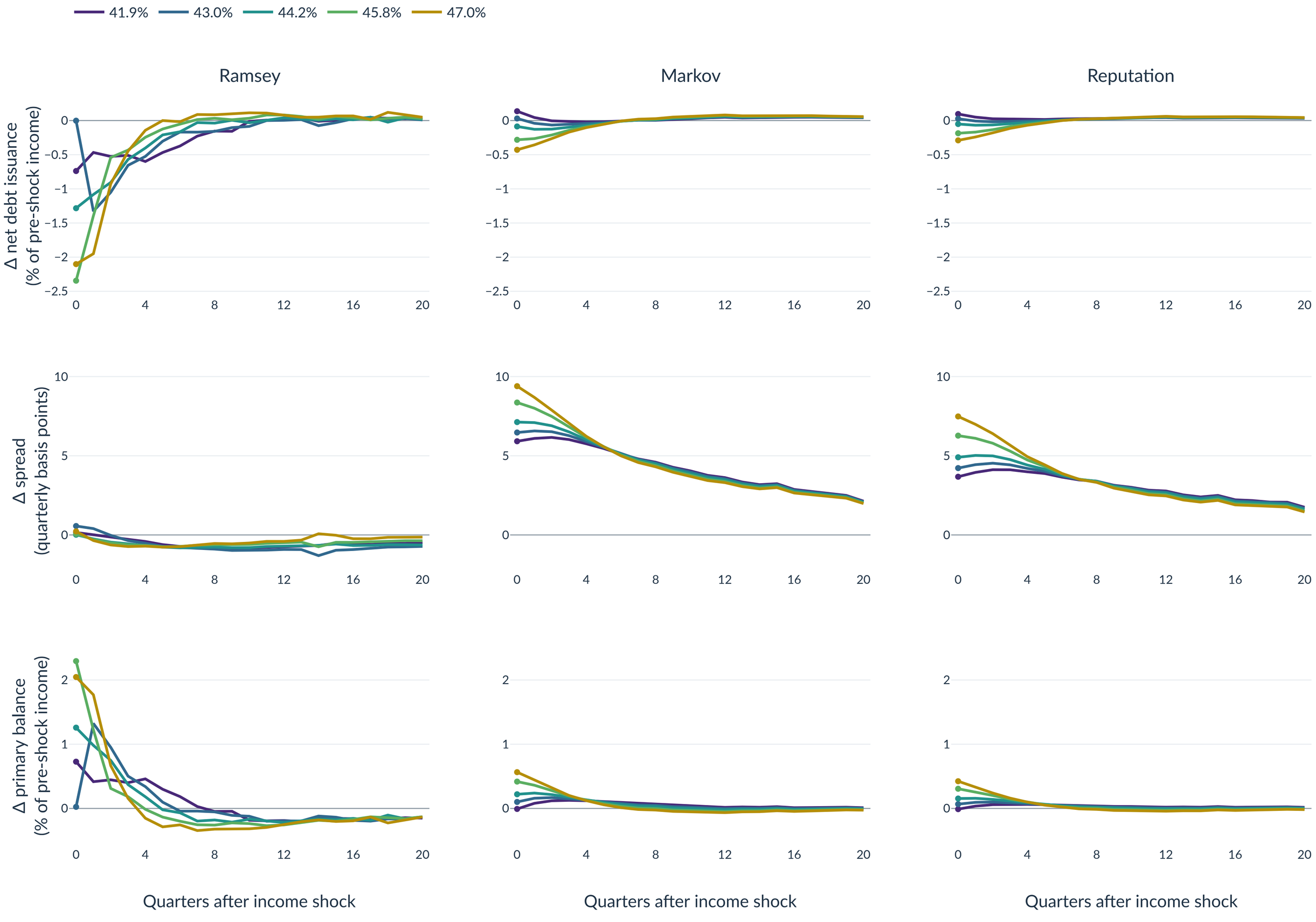
How the same income shock changes borrowing, spreads and fiscal policy — by initial debt



Colors identify initial debt / annual income. Same 3.36% income decline; 2,000 paired paths; mean changes from matched baselines.
Flows use fixed pre-shock quarterly income; spreads are quarterly basis points. Positive primary balance means fiscal tightening.
Reputation: strategic government, initial belief 50%. Ramsey retains inherited promises and has no implementation noise.
Ramsey averages over debt-specific inherited promises; its debt pattern is irregular. Lowest-debt pool: 78 histories; spread means are tail-sensitive.